

Multiple Choice (10 marks)

1. What are three economic roles of government?
 - (a) Establishing minimum standards, providing public services, setting forth laws
 - (b) Funding education, providing healthcare, controlling inflation
 - (c) Printing money, establishing trade agreements, military defense
2. What happens to the purchasing power of money when there is inflation? What does it mean?
 - (a) Purchasing power increases and more goods can be purchased with the same amount of money.
 - (b) Purchasing power remains the same.
 - (c) Purchasing power decreases and less goods can be purchased with the same amount of money.
 - (d) Purchasing power fluctuates unpredictably.
3. The market for denim jeans is in equilibrium, and the price of polyester pants, a substitute good, rises. In the jean market
 - (a) supply falls, increasing the price and increasing the quantity.
 - (b) demand rises, decreasing the price and increasing the quantity.
 - (c) demand rises, increasing the price and decreasing the quantity.
 - (d) demand falls, decreasing the price and increasing the quantity.
 - (e) supply rises, decreasing the price and increasing the quantity.
4. A production possibility frontier will be a straight line when
 - (a) efficiency is achieved
 - (b) there is no opportunity cost
 - (c) utility is maximized
 - (d) resources are not specialized
 - (e) there is economic growth
5. The "crowding-out" effect refers to which of the following?
 - (a) Higher interest rates that result from borrowing to conduct contractionary fiscal policy
 - (b) Lower interest rates that result from borrowing to conduct expansionary monetary policy

- (c) Lower interest rates due to borrowing to conduct contractionary fiscal policy
- (d) Lower interest rates resulting from reduced borrowing due to expansionary fiscal policy
- (e) Lower interest rates due to increased borrowing to conduct expansionary monetary policy

True / False (10 marks)

Answer True or False

- 6. True or False: As firms enter a monopolistically competitive industry, the number of firms in the industry is expected to increase.
- 7. True or False: The GDP Deflator incorporates current year quantities in its calculations to measure inflation.
- 8. True or False: The velocity of money is 6 times per year when GNP is 600 billion and the money supply is 1 billion.
- 9. True or False: A leftward shift in supply combined with a rightward shift in demand will definitely increase the equilibrium price of corn.
- 10. True or False: In the long run, all factors of production remain constant and cannot be adjusted.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Discuss how to calculate annual depreciation for a machine costing 1,000,000 with a 10-year life span and a 100,000 scrap value, and explain its impact on financial statements.
- 12. Discuss the implications of using Ordinary Least Squares (OLS) in the presence of autocorrelation, focusing on how it affects forecasts and standard errors in economic modeling.

End of Paper